EVIDENCE-LED MARKET INTELLIGENCE / VOLUME II / V02

PSS Acceptance 360

Market, Competitor, Ecosystem & Opportunity Assessment

Public-source baseline • bank-service segmentation • competitive pressure • falsifiable opportunities • pre-appointment execution plan

19 October 2026 | Version 1.0 | Confidential research working draft

CONTROL	STATUS / DECISION USE
Document ID	PSS-A360-V02-001
Owner	Research, Product & Business Development — proposed; no PSS appointment/authority represented
Source cut-off	19 October 2026; public evidence plus programme drafts S02, S03, S04/V01, V03 and V05
Prepared for	Personal pre-joining research; future authorised PSS management review
Evidence status	Desk research complete to source cut-off; no internal or field verification
Decision permitted	Prioritise research hypotheses and bank/merchant validation; not procurement, pilots, revenue forecasts or approved strategy

Executive conclusion

Ethiopia's payments infrastructure is growing quickly, but adoption indicators are not interchangeable. Installed POS terminals, mobile-money registrations, merchants enrolled on a wallet, interoperable QR transaction volume and PSS-addressable bank service spend describe different markets. None independently establishes a sellable PSS Acceptance 360 opportunity.

Preferred research direction: test a narrow bank-sponsored reconciliation, merchant operations and reusable connectivity offer (Operate + Connect), while retaining PSS Pay-led expansion, partner-led delivery and no investment as real alternatives. A broader national acceptance-and-agent programme remains a conditional long-range possibility, not a first investment case.

The document records public facts and plausible hypotheses, not actual interviews, signed bank economics, present-day device inventories, internal PSS financial performance or certification verification.

1 Mandate, scope and governing rules

V02 complements S02 (business-model alternatives), S03 (asset and capability gaps), V03 (bank buying and willingness to pay), V04 (future merchant field research), V05 (pre-access PSS product-performance validation), and F01/F05 (integrated and financial feasibility). It is not a substitute for any of those documents.

1. Separate national need, merchant adoption, bank buyer demand and PSS revenue potential; do not apply an unsupported percentage to the estimated national MSME population.

2. Keep provider-reported footprint, active usage, switch network flow, and point-of-sale instrument counts in distinct series with different denominators.

3. Treat the NBE 2026–2030 National Digital Payments Strategy as a draft on the observed website; proposed interchange, MDR and development funding are excluded from base-case revenue.

4. Cooperate with EthSwitch and existing licensed institutions rather than proposing a rival national QR scheme or assuming unilateral settlement, KYC or access rights.

5. Respect the user's pre-joining stage: public research and draft instruments are possible now; PSS internal data, bank outreach on PSS's behalf and official authorisation must wait.

2 Fact base: verified, reported and derived indicators

EVIDENCE / PERIOD	PUBLIC OBSERVATION	INTERPRETATION / LIMIT
NBE, June 2024 [R02]	14,030 installed POS terminals nationally; 10,551 ATMs.	Historical physical access-point measure, not active merchants or QR merchants.
NBE NDPS draft [R01,R03]	77% of 2024 POS terminals in Addis Ababa; estimated ~2 million MSMEs.	Draft estimate; MSMEs and terminals cannot be divided to infer adoption willingness.
EthSwitch FY2025/26 [R04]	387m transactions / ETB 1.26tn, of which ETHQR 551.5k / ETB 6.8bn; POS 3.9m / ETB 10.7bn.	Operator-reported interoperable throughput; not all Ethiopia merchant payments.
Ethio telecom FY2025/26 [R05]	telebirr 440.1k merchants, 410.7k agents, 60.6m customers; ETB 4.19tn transacted.	Provider-reported registered/ecosystem footprint; activity and overlap not established.
Safaricom Ethiopia FY to Mar 2026 [R06]	5.2m M-PESA customers.	Provider-report; merchant activity not inferred.
NBE public payment register [R07]	Four commercial mobile-money issuers named; POS/gateway category includes several commercialised and pilot providers.	Published category/status snapshot; confirm updates and originals before reliance.
World Bank Findex Ethiopia 2024 [R08]	2025 Global Findex Ethiopia microdata exist for 2024 survey, n=1,001 cases.	Unweighted case frequencies must NOT be used as national representative percentages.
PSS public transition [R09]	August 2026 reporting of PSS Pay and POS/gateway licensing.	Third-party/company account; licence originals, contracts, active use and certification remain unknown.

A derived diagnostic (not a spending estimate): EthQR reported value / reported count equals approximately ETB 12,330 per transaction (ETB 6.8bn / 551,500). This does NOT prove QR lacks small merchants: channel definitions, merchant mix, skew, reversals and reporting period must be checked before that inference.

2.1 What cannot be claimed

- PSS has a quantified serviceable market merely because Ethiopia has about two million MSMEs.
- The difference between the EthSwitch ETHQR figure and telebirr merchant registrations measures missing transactions.
- An account registration is an active digital payer, an active merchant, or one distinct human customer.
- The full EthSwitch transaction value is available to PSS as processing volume.
- An announced QR subsidy, future merchant discount rate (MDR) or interchange reform is currently contracted revenue.

3 Ecosystem topology and value-chain boundaries

LAYER / FUNCTION	MAIN ACTORS	IMPLICATION FOR ACCEPTANCE 360
Merchant-facing acceptance	Banks/acquirers; PSS Pay where authorised; gateway/POS providers; wallet merchant tools	Potential shared servicing; merchant capture remains bank/merchant-channel specific.
Issuance and wallet channels	Banks, telebirr, M-PESA, Kacha, Yaya; other pilots	Partner/competitor effects; wallet APIs, commercial terms and permissions not assumed.
National switching and standards	EthSwitch: EthioPay IPS, ETHQR, interoperability rules	System dependency and possible product-overlap risk; avoid duplicate rail creation.
Bank operations and risk	Merchant onboarding, KYC, settlement oversight, disputes, support, reconciliation	Candidate paying-customer problem if current bank alternatives impose measurable cost.
Regulation and standards	NBE, card schemes, PCI SSC, data protection governance	PSS has its own licensed-operator and processor obligations where relevant.
Technology and supply chain	PSS legacy services, vendor/software providers, PSS Trading (reported)	Verify ownership, support contracts, licence scope, procurement and related-party controls.

4 Competitive landscape: nature of competition is changing

A gateway alone competes on checkout convenience, payment methods, onboarding and developer experience. A bank operations utility would compete instead against banks' internal systems, core providers, national switch tooling, processors and outsourcing vendors. V02 must compare both sets; POS licences alone do not define the competitive set.

PLAYER / CLASS	PUBLIC EVIDENCE	STRATEGIC READING	REMAINING GAP
EthSwitch	Official FY2025/26 transaction data and national interoperable role [R04,R10]	Non-substitutable national rail; potential merchant service overlap.	Published terms, interfaces, merchant portal scope, service SLAs.
telebirr / Ethio telecom	440.1k reported merchants; 33 reported banking/MFI/SACCO integrations [R05]	Largest reported wallet merchant footprint among figures checked.	Merchant activity, independent QR conversion, contract terms.
M-PESA / Safaricom	5.2m customers, FY26 [R06]	Growing wallet alternative; partner route possible.	Merchant product, service and transaction evidence, current APIs.
Chapa	NBE-listed commercialised POS/gateway operator [R07]	Potential checkout competitor, not proven equivalent bank operations utility.	Actual tariffs, bank channels, reconciliations/SLAs.
ArifPay	NBE-listed commercialised POS/gateway operator [R07]	Potential acceptance competitor.	Actual merchant economics and product breadth.
SantimPay	NBE-listed commercialised POS/gateway operator; provider describes POS, gateway, wallet [R07,R11]	Multi-product commercial challenger.	Verified current active merchant footprint and terms.
Addis Pay, Yagout, FenanPay	NBE-list status: commercialised [R07]	Additional direct or adjacent merchant-provider competition.	Comparable service-price and feature data.

PLAYER / CLASS	PUBLIC EVIDENCE	STRATEGIC READING	REMAINING GAP
Pilot-stage gateways	NBE lists additional pilot providers [R07]	Future entry could compress transaction-only margins.	Commercialisation status and unique products.
Bank internal stacks & vendors	S03 identifies current internal evidence gap [INT]	Most important alternative in a bank buying decision.	Costs, control failures, operating metrics; V03/V05.

Competitor features not substantiated by accessible primary sources are intentionally marked for direct validation; no market shares are assigned.

5 Opportunity segmentation: six hypotheses, not six revenue lines

ID / SEGMENT	VALUE POOL HYPOTHESIS	CORE PROOF	STATUS
O1 — Merchant reconciliation and exceptions for bank-acquired merchants	Recurrent bank pain, potentially measurable cost/time	Bank CFO/ops cost baseline; failure trends; willingness to pay	Research first
O2 — Reusable bank-to-acceptance integration/adapters	Potential reduction in duplicated integration expense	Rights, complexity, test adaptors, implementation cost	Research first
O3 — Expand existing PSS Pay merchant adoption	Potential fastest asset reuse	Current compliance, active device mix, merchant cohort costs	Parallel challenger
O4 — Omnichannel gateway and e-commerce collection	Online businesses need multiple collection methods	Merchant funnel, pricing, regulated roles	Selective
O5 — Secondary-city bank merchants and micro-retail	Possible need for low-cost acceptance outside Addis	Geographic device and demand study; real bank sponsor	Research only
O6 — Agent/shared-agent infrastructure	Possible reach benefits under policy options	NBE position, operator architecture, economics	Defer

Initial management research ranking (qualitative and reversible): O1 and O2 highest to test; O3 is a material challenger; O4 conditional; O5 should be bank-led and localised; O6 should not receive an initial build budget. This is NOT a measured ranking from bank interviews.

6 Market size: an addressable bank-service funnel, not a national TAM shortcut

The unit of purchase for Operate + Connect is a contracting bank/service line. A defensible initial serviceable market begins with eligible banks, then the merchant portfolios that the banks are allowed and willing to place on the service, followed by contracted fees and net economics.

STAGE	REQUIRED INPUT	OUTPUT / RESTRICTION
Universe	Licensed banks / participating bank roster	Do not multiply the whole banking population by hypothetical fees.
Eligibility	Bank commercial interest, actual merchant business and lawful rights	Exclude non-eligible and non-consenting banks.
Technical serviceability	Adapters and operational/contractual readiness	Remove bank cohorts PSS cannot legally or technically serve.
Conversion	Written sponsor intentions -> authorised commercial terms -> contract	Only signed contract revenue is contracted addressable service spend.
Activation	Active merchants and transaction/service tier definitions	Registration count cannot replace paid active-service units.

STAGE	REQUIRED INPUT	OUTPUT / RESTRICTION
Economics	Pricing minus fixed and incremental obligations	Compute PSS net present value and bank ROI separately.

Illustrative formulae for the accompanying workbook (no bank quantities or prices supplied): contracted monthly revenue = bank platform minimum + (active billable merchants × bank-agreed fee) + (chargeable verified events × contracted event fee). Annual contribution = 12 × monthly revenue minus verified bank-specific support, processing, certification, integration amortisation and other operating costs. Use margins only after CFO verifies cost allocation and signed tariffs.

6.1 Four measurement traps to prevent

1. Double counting customers or merchants across telebirr, M-PESA, banks and national QR.
2. Treating one fiscal year's switch flows as comparable to a provider's total mobile-money ledger.
3. Inferring active merchants or adoption velocity from registered accounts or terminal stock.
4. Extrapolating pilot bank buying behaviour directly to national acceptance-market potential.

7 Candidate segment research matrix

SEGMENT	ILLUSTRATIVE BUYER	PAIN HYPOTHESIS TO CONFIRM	EARLIEST VALIDATION
Bank-acquired retail merchant networks	Merchant acquiring / COO / operations / CFO	Reconciliation exceptions, merchant inquiry volume, multi-rail reporting	V03 bank discovery + V05 operational baseline
Regional high-frequency service merchants	Lead bank acquiring head	Small ticket use, intermittent connection, low-cost QR vs POS trade-off	V04 merchant field visit + device audit
E-commerce and bill-collection merchants	Bank digital business / acquiring	Collections, settlement status, refund visibility	V03 and gateway benchmarking
Multi-branch merchant networks	Bank corporate services	Fragmented merchant identifier/reporting	V03 buyer value study and workflow demo
Shared agents (future)	NBE and licensed-bank sponsors	Cost and network fragmentation	Regulatory and operating model consultation

8 Structured regional prioritisation — no invented city rankings

A candidate city must be selected on documented sponsor-bank coverage, merchant concentration and activity, device readiness, network reliability, customer support logistics, fraud/complaint patterns and inclusion potential. City priority cannot be inferred from population alone. Addis Ababa can serve as a comparable reference but cannot represent the same deployment constraints as secondary centres.

CRITERION	DATA NEEDED	SCORING PRINCIPLE
Lead-bank sponsor concentration	Active bank merchants by cluster and segment	Exclude clusters without an authorised sponsoring bank.
Device/connectivity fit	Real Android NFC models, network uptime, QR feasibility	Instrument choice follows usable device mix.
Merchant usage need	Observation of customer payment preferences and cash handling	Prioritise measured behaviour, not abstract interest.

CRITERION	DATA NEEDED	SCORING PRINCIPLE
Operations cost	Travel, training, incidents, support, branch network	Include fully loaded cost-to-serve.
Inclusion value	Rural/secondary-city and women-owned merchant disaggregation	Report inclusion separately from commercial return.
Risk readiness	Fraud, incident response, recoverability, safety	Hard veto if risk controls fail.

9 Research programme and falsification

HYPOTHESIS	EVIDENCE THAT SUPPORTS IT	WHAT WOULD DEFEAT IT
H-V02-01: banks have material avoidable exception costs	Operations cost baselines, incident workload and buyer-approved savings model	Reliable, cheaper current service with no credible incremental savings
H-V02-02: reusable adapters reduce time/cost	Two independently verified bank-interface comparisons	Each bank requires material bespoke build or vendor restrictions prevent reuse
H-V02-03: bank buys a contracted service	Authorised buyer, budget owner, price tested and formal sponsorship	Interest only or zero viable price acceptance
H-V02-04: SoftPOS beats alternatives for a defined cohort	Verified compliant eligible devices, active merchants and net economics	Certification gap / merchant churn / poor device uptake
H-V02-05: acceptance gaps are spatially concentrated	Bank and merchant data by cluster and instrument	No unmet usage or economics inferior to existing wallet channels
H-V02-06: outcomes improve with integration, not rail duplication	Operational performance compared with existing national interfaces	National operator already provides equivalent service at lower cost

Success at one test does not authorise live pilot or capital spend. Legal, technology, risk and bank buyer gates remain independent hard gates. S02 Option E (no new platform) must remain an admissible conclusion.

10 Action plan: before joining vs after official authorisation

WHEN	TASK / ARTEFACT	DEPENDENCY
Pre-joining	Refresh NBE register and draft NDPS status; update V02 source register	Public websites only; quarterly or before management use
Pre-joining	Create competitor service-feature comparison; identify evidence gaps	Do not claim secret tariffs, competitor market share or merchant activity
Pre-joining	Prepare city-research scorecard, sample design and bank questionnaire bridge	Do not contact institutions as PSS representative
Pre-joining	Create bottom-up pricing model templates and service definitions	All pricing, volumes and costs blank until evidence verified
After appointment	Obtain internal PSS governance, legal and CISO permission	Named role and research mandate
After appointment	Access V05 PSS Pay and merchant-operations cost/performance data	Data classification, minimum necessary access
After appointment	Run V03 interviews, commercial test and case studies	CEO permission, Legal-approved confidentiality and ethics
After appointment	Run V04 merchant observation and city field research	Approved consent, sampling and field safety
After appointment	Receive technical, regulatory and CFO sign-offs for F01/F05	No pilot approval until gates passed

11 Executive interpretation and recommendations

1. Accept V02 as a public market-intelligence baseline for hypothesis selection only. It is neither a completed field validation study nor a bankable market-size estimate.

2. Prioritise Option B / O1-O2 for buyer discovery; keep Option C as an equally credible product reuse challenger. No platform procurement follows from V02.

3. Use existing EthioPay/ETHQR infrastructure and licensed wallet/merchant providers as possible authorised rails and counterparties, not assumed PSS-controlled assets.

4. Protect the capital downside: no revenue assumption from future MDR, subsidy fund, QR interchange, agent fees or unsigned bank agreements.

5. Require bank, finance, risk, legal, technology and independent challenge before advancement to pilot design.

12 Evidence gaps and hand-offs

HAND-OFF	WHAT V02 NEEDS NEXT	PRIMARY OWNER (WHEN APPOINTED)
V03	Bank cost, buying committee, alternatives, pricing, documented sponsor	RPB&D + Bank Relationship Lead
V04	Merchant cohorts, city/device research, acceptance use and abandonment	RPB&D + field research agency
V05	Actual PSS Pay/processor usage, failures, architecture, cost-to-serve	Technology/Operations + Finance
F02/F03	Scheme and licence scope, interface rights, data security, availability	Legal + CISO + Technology
F04/F05	Bank spend cases, signed pricing, CFO cost allocation, downside	CFO / commercial
P01/P02	Product minimum scope and validated reusable components	Product/Technology
E01	Executive option recommendation with unresolved evidence clearly flagged	RPB&D / Risk

Annex A — Controlled source register (retrieved 19 October 2026)

R01 NBE NDPS 2.0 landing page; currently labelled draft. https://nbe.gov.et/ndps/

Classification: Regulator web page | Caveat: Draft status; no assertion of final law

R02 NBE Financial Stability Report November 2024, Table 13, p. 52.
https://www.nbe.gov.et/wp-content/uploads/2024/11/Financial-Stability-Report_NOV2024.pdf

Classification: Regulator PDF | Caveat: June 2024 stock of physical access points

R03 NBE Draft National Digital Payments Strategy 2026–2030.
https://nbe.gov.et/wp-content/uploads/2025/12/Ethiopia_NDPS_Draft_F.pdf

Classification: Regulator draft | Caveat: Policy objectives/figures proposed; not operative fees

R04 EthSwitch FY2025/26 results, 13 October 2026. https://ethswitch.com/2026/10/13/ethswitch-closes-fy-2025-26-with-strong-growth-etb-2-6-billion-in-gross-profit-before-tax/

Classification: Operator report | Caveat: Interoperable volumes; unaudited here

R05 Ethio telecom FY2025/26 annual performance, 23 July 2026. https://www.ethiotelecom.et/2025-26-budget-year-annual-business-performance-report/

Classification: Operator report | Caveat: Registration/provider scope; not independent activity

R06 Safaricom Ethiopia FY26 news release. https://www.safaricom.et/en/whats-new/latest/news-and-blogs/safaricom-ethiopia-records-1309-service-revenue-growth-in-fy26

Classification: Operator report | Caveat: Different fiscal cut-off and customer metric

R07 NBE public register of payment instrument issuers/operators. https://nbe.gov.et/payment-instrument-issuers-system-operators/

Classification: Regulator register | Caveat: Public page may lag latest licence grants

R08 World Bank Findex Ethiopia 2024 microdata catalog. https://microdata.worldbank.org/catalog/7901/data-dictionary/F1

Classification: Research dataset metadata | Caveat: Raw sample frequencies not national weighted figures

R09 Shega: PSS POS/gateway transition, 30 August 2026. https://www.shega.co/news/premier-switch-expands-into-the-checkout-with-po-s-gateway-license

Classification: Secondary company reportage | Caveat: Confirm actual licence/operational status internally

R10 EthSwitch ETHQR technical resources. https://ethswitch.com/homepage/resourcesinformation/

Classification: National standard resources | Caveat: Check current scheme version and participant permissions

R11 SantimPay company site. https://www.santimpay.com/

Classification: Competitor self-report | Caveat: Features and scale not independently verified

R12 PSS PCI DSS 2025 public certification note. https://psseth.com/?p=7035

Classification: Company report | Caveat: Validity stated until 8 July 2026; updated AOC required

INT S02 and S03 programme drafts plus Volume 1 provided in project. Internal research package / user-supplied

Classification: Secondary internal draft | Caveat: Not PSS audited source or official strategy

Annex B — Definitions and evidence grading

TERM	DEFINITION
Registered merchant	Provider-listed merchant, whether or not transacting; count often overlaps across providers.
Active merchant	Merchant meeting a specified look-back period and minimum valid payment transaction criterion; definition must be stated.
Acceptance point	Physical terminal, QR stand, app-enabled smartphone or other merchant acceptance instrument; not interchangeable.
Verified public	Value directly read in a primary official publication; source scope, date and limitations stated.
Operator reported	Value disclosed by the company or payment operator; independent assurance not presumed.
Hypothesis	Falsifiable proposed customer problem or service benefit; not an observed fact.
Bottom-up SAM	Addressable spend from eligible bank cohorts after genuine coverage, willingness and contractual rights checks.
Bank-ready / investable	Evidence plus authorised sign-offs, legal feasibility and CFO-led downside analysis, not market research alone.

Decision control: Executive circulation requires source refresh, appropriate legal/reputational review, and explicit labelling of the pre-appointment research status.